

Trade Practices Act 1974

Sixth Variation to Undertakings given to the Australian Competition and Consumer Commission for the purpose of section 87B

by

Toll Holdings Limited
ACN 006 592 089

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Our reference 187/13712/80041408

Recitals

- A. On 11 March 2006, the Commission accepted undertakings from Toll Holdings Limited ("**Toll**") in accordance with section 87B of the *Trade Practices Act 1974* (the "**Act**") to address competition concerns raised by the Commission as a result of Toll's acquisition of Patrick Corporation Limited (the "**Original Undertakings**").
- B. The Original Undertakings were varied with the Commission's consent on 4 May 2006, 11 September 2006, 9 October 2006, 13 December 2006 and 18 April 2007. (The undertakings as varied are referred to as the "**Undertakings**").
- C. The variation to the Undertakings consented to by the Commission on 18 April 2007 (the "**Fifth Variation**"), provided for (among other things) a waiver of the obligation under the Original Undertakings that Toll divest 50% of Pacific National (the "**PN Interest**"). This waiver is predicated on implementation of a restructure of the Toll group and transfer of Pacific National to a new separate and independent entity, namely Asciano Limited ("**Restructure**").
- D. The Restructure will not occur until a series of steps provided for in the Undertakings are satisfied including resolution by Toll shareholders to implement a scheme of arrangement to give effect to the Restructure. Until such time as the Restructure is implemented, the obligations under the Original Undertakings to hold separate from Toll and otherwise preserve the PN Interest remains in effect and Toll is required to comply with these obligations.
- E. On 31 October 2006, the State of Victoria and Pacific National entered into a non-binding terms sheet providing for the reacquisition by the State of Victoria of the Victorian regional rail network from Pacific National. On 13 April 2007, Pacific National entered into an agreement with relevant agencies of the Victorian Government to sell the Victorian regional rail network to the State of Victoria.
- F. This variation (the "**Sixth Variation**") amends the Undertakings so as to enable the sale of the Victorian rail network without Toll contravening the hold separate and business preservation obligations in respect of the PN Interest under the Undertakings.
- G. The Commission has agreed, pursuant to Section 87B of the Act, to accept this Variation.

1. Commencement

This Sixth Variation comes into effect when:

- (a) this Sixth Variation is executed by Toll; and
- (b) the Commission accepts this Sixth Variation so executed.

2. Insert new clause 7A - Victorian Network Assets

A new clause 7A in the following terms is to be inserted following clause 7:

"7A. Victorian Network Assets

Nothing in this Undertaking precludes the transfer, by sale or otherwise, of the Victorian Network Assets to the State of Victoria to the extent such transfer proceeds in accordance with the terms set out in the Asset Surrender and Sale Agreement, and any such transfer will not constitute a contravention of any obligation in these Undertakings."

3. Variation to clause 19 - Definitions and Interpretation

Clause 19.1 is varied by the insertion of the following definitions to be included in the list of definitions in clause 19.1 in alphabetical order:

"Asset Surrender and Sale Agreement means the Asset Surrender and Sale Agreement between Pacific National (Victoria) Ltd., Pacific National (ACT) Ltd., Victorian Rail Track, The Director of Public Transport, Pacific National and V/Line Passenger Pty. Ltd dated 13 April 2007 and documentation referred to therein."

"Victorian Network Assets means the assets and liabilities of the Victorian regional rail network proposed to be surrendered or transferred by Pacific National to the State of Victoria as set out in the Asset Surrender and Sale Agreement."

4. Acknowledgements

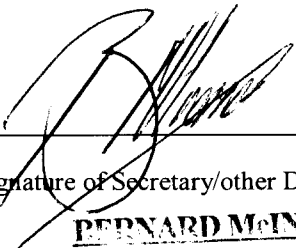
Toll acknowledges that the Commission may:

- (a) make this Sixth Variation available for public inspection; and
- (b) from time to time publicly refer to this Sixth Variation.

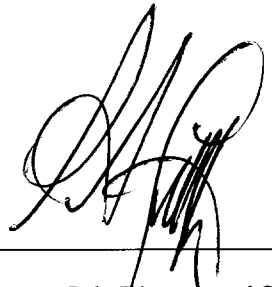
5. Definitions and Interpretation

- (a) Any term defined in the Undertakings and not defined in this Sixth Variation has the meaning given in the Undertakings, unless the contrary intention appears.
- (b) **"Sixth Variation"** means this variation to the Undertakings, executed by the Chairman on behalf of the Commission on 1 May 2007.

Executed by Toll Holdings Limited ACN 006 592 089 in accordance with section 127 of the *Corporations Act 2001* by or in the presence of:


(Signature of Secretary/other Director)
BERNARD MCINERNEY
COMPANY SECRETARY
(Name of Secretary/other Director in full)

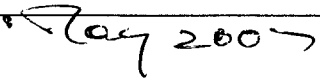
30 April 2007
Date of Execution by Toll Holdings Limited


(Signature of Director or Sole Director and Secretary)
PAUL LITTLE
DIRECTOR
(Name of Director or Sole Director and Secretary in full)

Accepted by the **Australian Competition and Consumer Commission** pursuant to Section 87B of the *Trade Practices Act 1974*.



Graeme Julian Samuel
Chairman

Date 1  2007